APPENDIX 1: IMF FACT SHEET

International Monetary Fund (IMF)

WHEN: Founded in 1944, part of the same conference held at Bretton Woods that saw the creation of the World Bank

WHAT: The IMF promotes trade and development, and provides short-term loans to countries experiencing temporary problems with their balance of payments.

WHY: Originally the IMF was established to help countries rebuild after the Second World War. War torn countries could receive temporary financial assistance in order to ease the pressure of their massive foreign debts. It also helped to foster economic growth and high levels of employment in these same countries. Over the years, however, the IMF has shifted its focus from war torn European countries to poorer developing countries who also often struggle with high levels of foreign debt weak economies.

WHO: The IMF is an international organization of 184 member countries, including Canada.

HOW: In order to borrow money from the IMF countries must agree to certain conditions, conditions the IMF believes will help strengthen its economy so that the nation will be less reliant on foreign capital in the future. First, borrowing countries are required to tighten the money supply in order to raise internal interest rates to whatever heights are needed to stabilize the value of the local currency. Then countries must increase tax collections and reduce government spending dramatically and sell off public enterprises to the private sector. Finally, they must remove restrictions on the inflow and outflow of international capital as well as restrictions on what foreign businesses and banks are allowed to buy, own, and operate.

WEBSITE: http://www.imf.org/

OK, BUT: Tight monetary policy and skyrocketing interest rates not only stop productive investment, stampeding savings into short-run financial investment instead of long-term productive investment, it keeps many businesses from getting the kind of month-to-month loans needed to continue even ordinary operations. This fosters unemployment and drops in production and therefore income. Fiscal austerity—raising taxes and reducing government spending—further depresses aggregate demand, also leading to reductions in output and increases in unemployment. Likewise, the benefits accrued by government spending are lost when governments must cut these budget items. Privatization of public utilities, transport, and banks is always accompanied by layoffs. Whether productivity and efficiency is improved in the long run depends on how badly the public enterprises were run in the first place, and if private operation proves to be an improvement.

REFERENCES: *http://www.zmag.org/ZMag/articles/jan2000albert.htm#WTO*